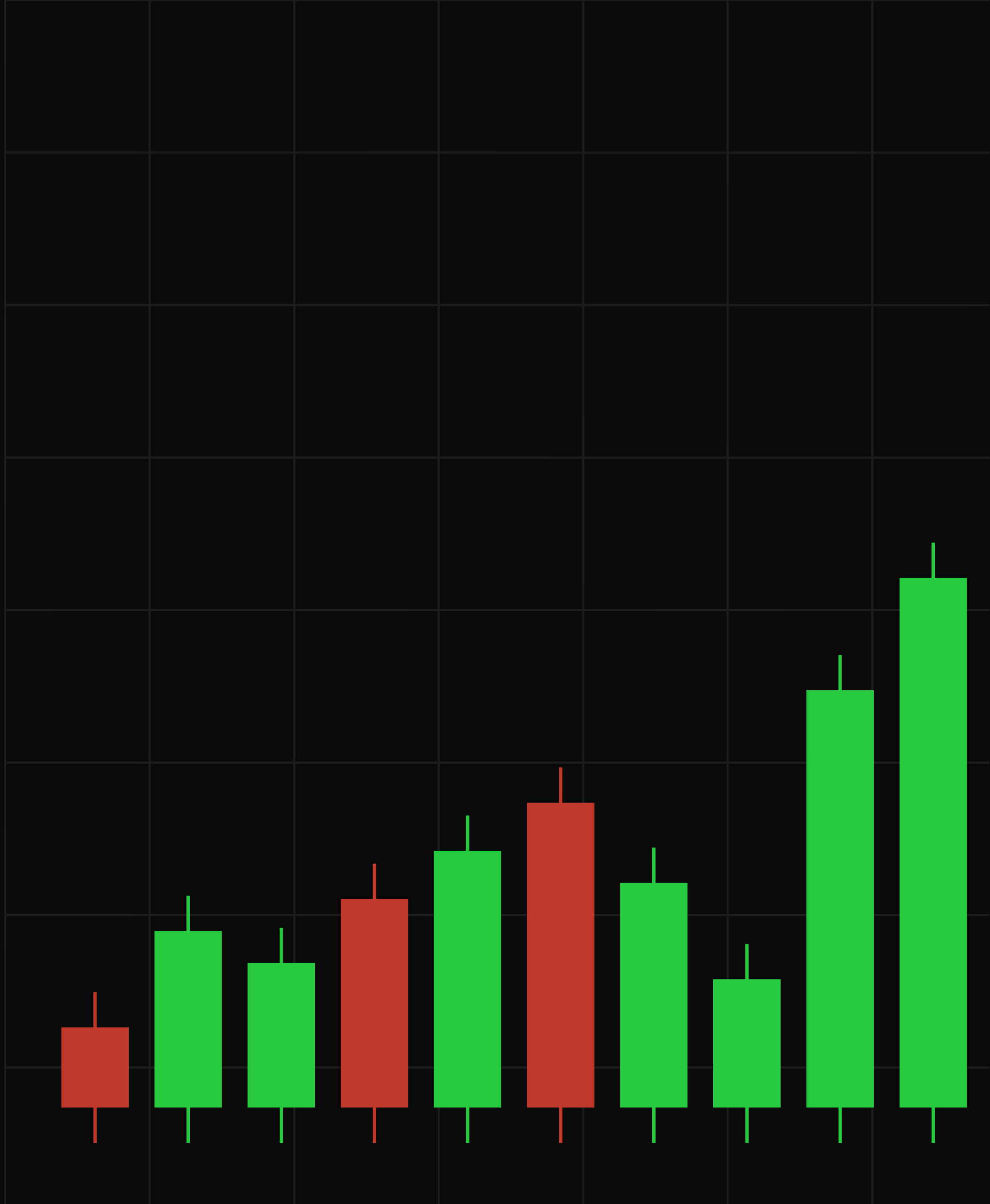
THE BEGINNER'S HANDBOOK TO STOCK RESEARCH

A practical, first-principles guide to understanding a company before you invest in it.



ELEVATE RESEARCH

RESEARCH BEFORE RUPEES

A QUICK LOOK AT HOW TO STUDY A COMPANY BEFORE YOU BACK IT.

Investing without research is speculation wearing a suit. This handbook walks through a simple, repeatable process for understanding a business before you commit capital to it — using only information that's already public and free to access. No tips, no shortcuts, just a method.

ELEVATE RESEARCH

WHAT ACTUALLY DRIVES A STOCK

BUSINESS, NUMBERS, AND NARRATIVE.

A stock's long-term value is shaped by three things: the quality of the underlying business, the health of its numbers, and the story the market is telling itself about it. The first two are things you can actually study. The third — sentiment, hype, momentum — changes by the week and is where most beginners get pulled in.

Research, at its core, is the discipline of separating the first two from the third — and making decisions based on what you can verify, not what you feel.

GETTING YOUR BASICS RIGHT

UNDERSTAND THE BUSINESS

Before touching a single ratio, describe the company in plain language: what does it sell, who buys it, and who else is trying to sell them the same thing? If you can't explain the business to a friend in two sentences, you're not ready to own the stock.

READ THE ANNUAL REPORT

The Chairman's letter, business-segment breakdown, and management discussion give more real context than any single ratio. It's free, it's public, and almost nobody actually reads it — which is exactly why it's worth your time.

WHERE TO START LOOKING

SCREENING, SHORTLISTING, AND BUILDING A WATCHLIST.

Use free screening tools (screener.in is the standard starting point) to filter for basic quality first — consistent revenue growth, positive operating cash flow, and manageable debt. Screening narrows a universe of thousands down to a shortlist worth reading about.

From there, build a watchlist of 10–15 companies you genuinely understand and track them over time — through results, news, and price moves — rather than chasing whatever's trending on social media this week.

TOOLS OF THE TRADE

FREE RESOURCES EVERY BEGINNER SHOULD KNOW.

Screener.in and Trendlyne for financial data and ratio history. Company investor-relations pages for presentations and transcripts. BSE/NSE exchange filings for disclosures and announcements as they happen. Annual reports for the full, unfiltered picture.

These are primary sources — information straight from the company or the exchange, not somebody's take on it. Build the habit of going to the source before you go to an opinion.

RED FLAGS TO WATCH FOR

SIGNS THAT DESERVE A SECOND LOOK, NOT A SHRUG.

Frequent promoter share pledging, unexplained related-party transactions, sudden auditor resignations, and receivables growing faster than sales are all worth pausing on. None of these alone disqualify a company — but a pattern of them is a reason to dig deeper, not a reason to look away.

KEY RATIOS TO KNOW

P/E RATIO

Tells you how much you're paying today for every rupee of the company's current earnings. Useful for comparing similar businesses — but a low P/E isn't automatically cheap, and a high one isn't automatically expensive. Context matters more than the number alone.

ROE

Return on Equity shows how efficiently a company turns shareholder money into profit. A consistently high, stable ROE across market cycles is a stronger signal than one great year.

DEBT-TO-EQUITY

Shows how leveraged the business is — how much of it is funded by borrowed money versus shareholder capital. Highly leveraged companies can look great in good years and struggle badly the moment conditions turn.

BUILDING YOUR OWN CONVICTION

RESEARCH IS A PROCESS, NOT A PREDICTION.

The goal of research isn't certainty — nobody gets that. It's forming an independent, well-reasoned view instead of borrowing someone else's confidence through a tip or a forum post. A good process reduces how often you're wrong and how badly; it never removes risk entirely.

Conviction that comes from your own understanding of a business is the only kind that survives a bad quarter without you panicking.

A NOTE BEFORE YOU BEGIN

Elevate Research is not a SEBI-registered Research Analyst or Investment Adviser. This handbook is created purely for educational purposes and reflects general concepts, not investment advice or a recommendation to buy, sell, or hold any security. Nothing here should be treated as personalized financial advice. Please consult a SEBI-registered adviser or research analyst before making any investment decisions.

ELEVATE RESEARCH

STAY

CURIOUS.

EXPLORE MORE RESEARCH AT ELEVATERESEARCH.IN